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ELECTRONICALLY
FILED
Superior Court of California, County of San Francisco
07/08/2024
Clerk of the Court
BY: SANDRA SCHIRO
Deputy Clerk

SUPERIOR COURT OF THE STATE OF CALIFORNIA

IN AND FOR THE CITY AND COUNTY OF SAN FRANCISCO

UNLIMITED JURISDICTION

MICHAEL HAGELE, Plaintiff, v. MATTHEW KAHN, NEIL RIDEOUT, and DOES 1 through 10, Defendants.	Case No.: CGC-24-614474 DECLARATION OF MATTHEW KAHN IN SUPPORT OF DEFENDANTS' ANTI-SLAPP MOTION Date: August 19, 2024 Time: 9:30 a.m. Dept: 302

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I, Matthew Kahn, hereby declare as follows:

1. I am an individual over the age of 18 years, and I am a Defendant in the above-captioned action. I make this declaration in support of Defendants' anti-SLAPP motion. I have personal knowledge of all of the facts set forth below, and if called to testify under oath, I could and would competently testify to the facts set forth herein.

2. In or about 2004, I formed Courtyard Montgomery LLC (the "Company") along with the plaintiff in this action, Michael Hagele. I initially held a one-third membership in the Company and Hagele held a two-thirds share.

3. In or about 2006, Neil Rideout purchased a 7.5% interest in the Company from both Hagele and me, leaving Hagele with approximately 59.2%, me with approximately 25.8%, and Rideout with 15%.

4. During the operations of the Company, Hagele routinely treated his personal expenses as Company expenses on the Company credit card and through other uses of Company funds, promising to essentially "true up" Rideout and me through direct "equalizing" payments that would compensate us for Hagele's use of Company funds.

5. While Hagele did make some payments to me to make up for his use of Company funds for his personal expenses, he often did not fully compensate me and/or was late in doing so. At one point in or about early 2020, I prepared a spreadsheet of Hagele's use of Company funds and his payment to myself and Rideout to compensate us for those funds. According to this sheet (a true and correct copy of which is attached hereto as Exhibit A), Hagele owed me $151,410 and he owed Rideout $41,226. I showed this sheet to Hagele and he did not dispute it.

6. At around that same time, Hagele and I discussed deducting some of the amount that he owed me in exchange for him selling part of his interest in the Company to me. An early iteration of those discussions is reflected on Exhibit A and contemplates forgiveness of $100,000 of the amount that Hagele owed to me based on his use of Company funds for personal expenses in exchange for a transfer of 10% of his interest in the Company to me. Eventually we agreed that the amount of Hagele's personal expenses paid for with Company funds utilized for the membership purchase would be $115,000 in exchange for the 10% interest. However, a dispute later arose

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between us about these discussions, with Hagele contending that we had reached an oral agreement I disputed this because, among other things, I had understood that he would receive voting rights and Plaintiff did not agree.

7. Given the issues regarding the outstanding amounts owed and the membership interest, Rideout and I hired an attorney, Joe Ehrlich, to represent us. Ehrlich engaged in several communications with Plaintiff (who is also an attorney) regarding the disputes starting in October 2020. Ehrlich later drafted a proposed complaint (the Proposed Complaint) that I then sent to Hagele on March 29, 2021 noting the attachment but stating that we were still open to mediation.

8. The Proposed Complaint contained various causes of action centering on the dispute regarding the purported oral agreement for the purchase of membership shares as well as Hagele's use of the Company funds for his personal expenses and his failure to make the purported "equalizing payments." I considered these issues to be intertwined, and believed that both of them were critical parts of the dispute with Hagele. While I hoped to resolve all of the issues with Hagele, I fully intended to authorize Ehrlich to file the Proposed Complaint and proceed with litigation if we were unable to do so.

9. As should be clear from Paragraphs 5 and 6, I emphatically believed at the time I sent the Proposed Complaint (and still believe) that Hagele had failed to fully reimburse me for his use of Company funds to pay for his personal expenses.

10. Hagele, Rideout and I entered into a Settlement Agreement on May 13, 2021, thus alleviating the need for litigation. The Settlement Agreement covered the sale of the membership interest and also contained mutual releases that had the effect of releasing Plaintiff from his obligations and wrongdoing involving the use of Company funds for personal expenses.

11. Rideout and I thereafter continued operating the business of the Company, and Hagele was no longer a member or involved in the business after approximately December 2021. However, in or about April 2024, after not hearing from Hagele regarding these issues for several years he told us that he was going to file a lawsuit seeking to rescind the Settlement Agreement. It is my understanding that Hagele somehow believes that we wrongfully pressured him into signing the Settlement Agreement through the threats of litigation. To be clear, he had never raised this issue

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with me prior to filing the lawsuit, and we sent him the Proposed Complaint because we intended to file it to resolve the good faith disputes with him if we could not reach resolution.

I declare under penalty of perjury under the laws of the State of California that the foregoing is true and correct. Executed at San Francisco, CA on July 6, 2024

MATTHEW KAHN

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Exhibit A

Previous Debt	2012	2013	1/14-3/14			
Mike Owes Matt	6998.35	13846.61	2019.11	22864.07		
Mike Card Spending from 4/14 - 12/18				104942.5		
Mike Piano				90026.11	Neil was paid on this already	
Mike Volvo				70016.81		
Mike Card Spending from 1/19-5/19				8678.53		
Mike LOC 1/1/15 - 12/31/15 statement				43973.31		
Mike LOC 12/5/17 - 12/7/18				279.88		
			total	317917.1	this is 60% of 529,862	This is Matt's number
				227890.9	this is 60% of 379,818	this is Neil's number
Neil Card Spending 1/19-5/19				2488.49		
Neil Card Spending 4/14-12/18				13258.98		
			total	15747.47		

Mike owes Neil 56,973 minus 15,747 41,226.00 is the total amount owed to Neil from Mike

Matt Card Spending 4/14- 5/19 3919.68

Mike owes Matt 132,466 plus the oustanding 22864 (see f2) which = 155,330. minus 3919.68 which = 151,410.00

100k is converted to 10% in shares. Mike owes 51,410.00

Neil Owes Matt 3936.75 minus 588 which = 3348

LOC from 2016 and 2017 are missing and still need to be reconciled